Conjoint Analysis 101:

Translate Consumer Preferences into Actionable Insights

conjointly

Your guide to conjoint

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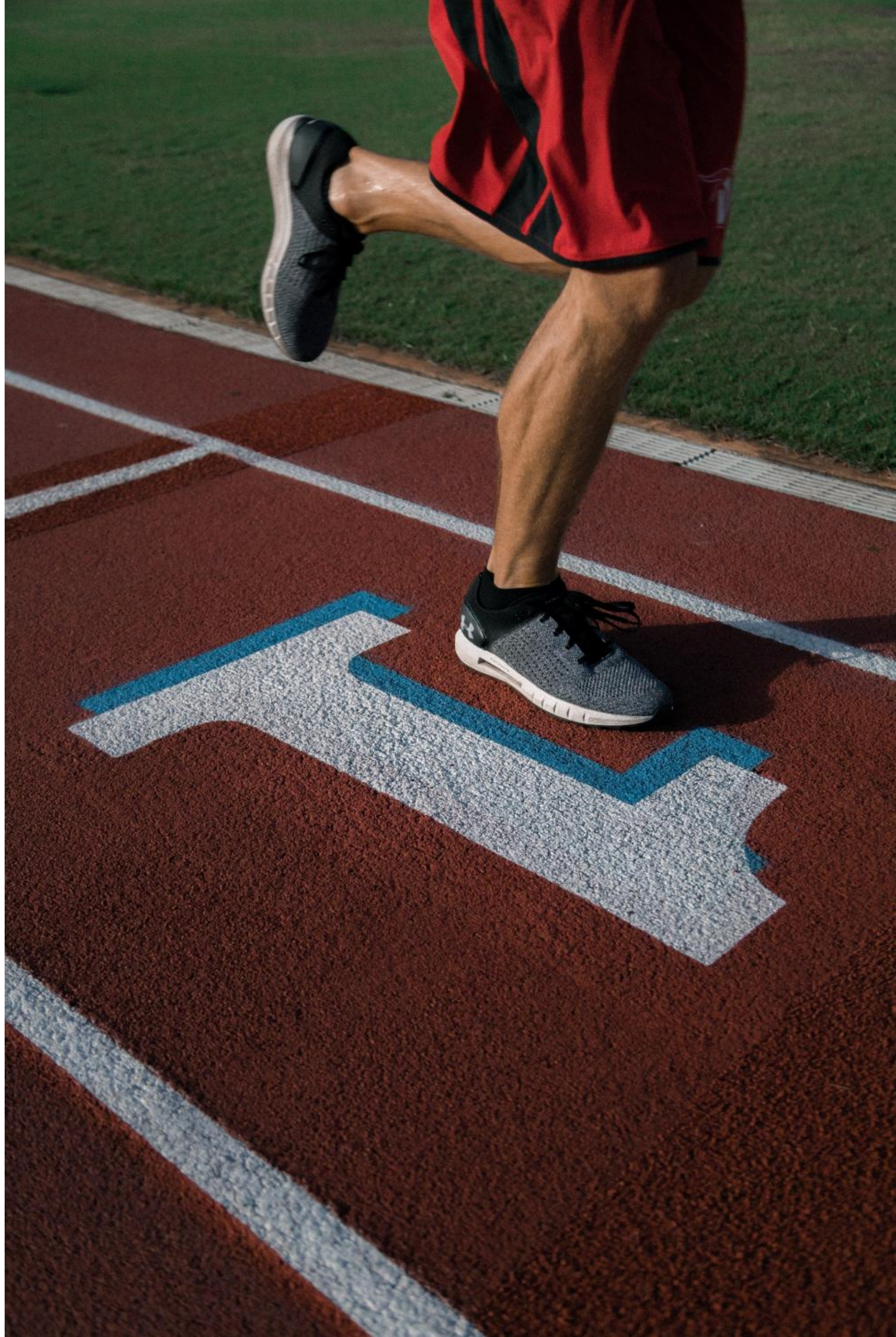
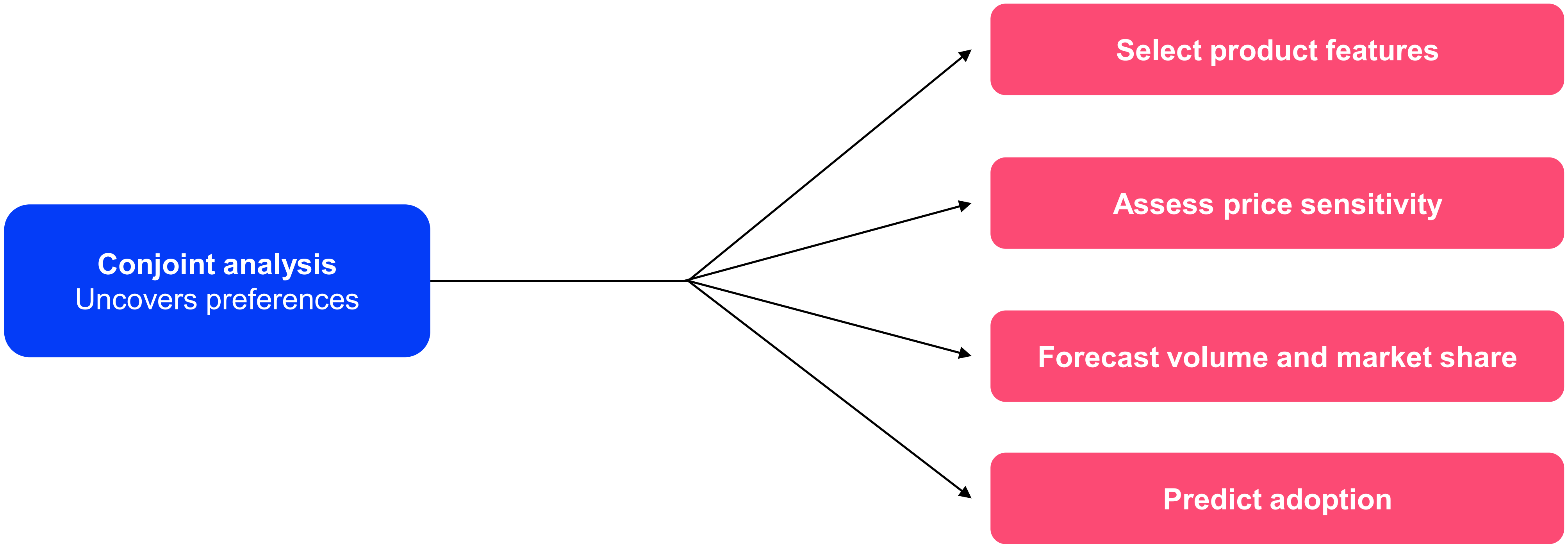
Today’s agenda

- **What is conjoint analysis?**
- **Setting up our own study and launching it**
- **Theory of conjoint**
  1. How do you specify your **attributes**?
  2. How do you specify your **levels**?
  3. Should you include **price** as an attribute?
  4. How much **sample** do you need?
  5. What are the different **types** of conjoint analysis?
  6. What are **preference share simulations**?
- **Review of our study’s results and simulations**
- **Key takeaways**
- **About Conjointly**
- **Q&A**



What is conjoint analysis?

Conjoint analysis is a method of product and pricing research that works to **uncover consumers’ preferences**.



Step 1: Break down a product into attributes and levels

Conjoint analysis works by **breaking a product or service down into its components** (referred to as **attributes and levels**) and then testing different combinations of these components to **identify ones that are more and less preferred**.

Product	Attributes	Levels of each attribute		
STREAMLY	Video quality	HD (720p)	Full HD (1080p)	4K Ultra HD
	Screen limit	1	2	4
	Monthly price	$8	$13	$18

Step 2: Create choice sets

Attributes and levels are assembled into alternatives, which are then presented in a series of **choice sets**.

Which of these streaming services would you subscribe to?

Video quality	HD (720p)	4K Ultra HD	Full HD (1080p)
Screen limit	4	1	2
Monthly price	$18	$8	$13
	Choose	Choose	Choose

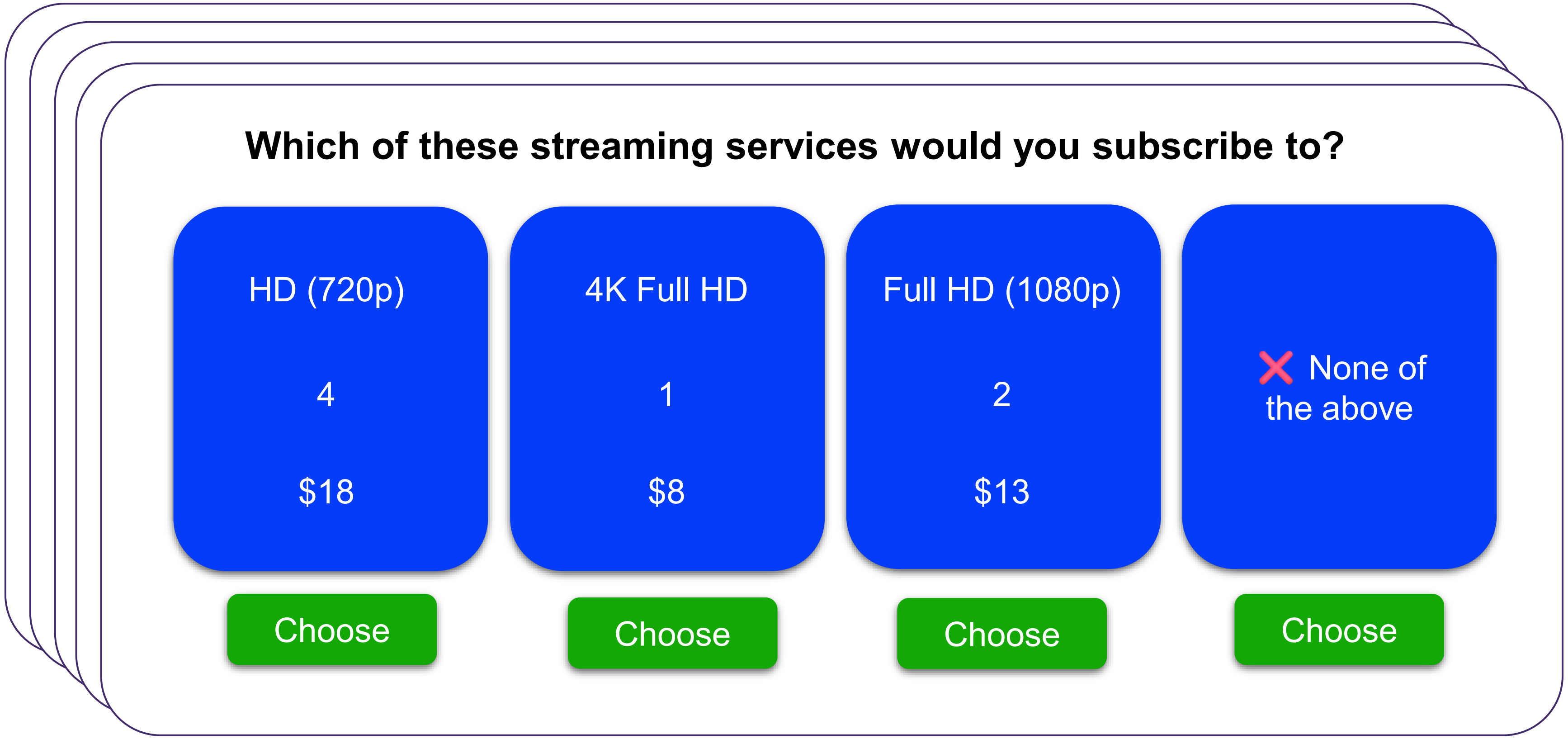
Levels of each attribute

Attributes

Alternatives to choose from

Step 3: Field survey to respondents

Respondents will be presented with 8 to 12 choice sets. Typically, each alternative's makeup is **randomized**.



Step 4: Calculate individual preference profiles

Gathering original answers, we can code them in a table to estimate preferences using **regression**.

CHOICE SET 1

Attribute	Alternative 1	Alternative 2	Alternative 3	Alternative 4
Video quality	Full HD (1080p)	HD (720p)	4K Ultra HD	None of the above
Screen limit	2	1	4	
Monthly price	$13	$8	$18	

CHOICE SET 2

Attribute	Alternative 1	Alternative 2	Alternative 3	Alternative 4
Video quality	HD (720p)	Full HD (1080p)	4K Ultra HD	None of the above
Screen limit	4	2	1	
Monthly price	$8	$13	$18	

CHOICE SET 3

Attribute	Alternative 1	Alternative 2	Alternative 3	Alternative 4
Video quality	4K Ultra HD	Full HD (1080p)	HD (720p)	None of the above
Screen limit	4	2	1	
Monthly price	$13	$18	$8	

CHOICE SET 4

Attribute	Alternative 1	Alternative 2	Alternative 3	Alternative 4
Video quality	HD (720p)	4K Ultra HD	Full HD (1080p)	None of the above
Screen limit	1	4	2	
Monthly price	$8	$18	$13	

CHOICE SET 5

Attribute	Alternative 1	Alternative 2	Alternative 3	Alternative 4
Video quality	Full HD (1080p)	4K Ultra HD	HD (720p)	None of the above
Screen limit	4	1	2	
Monthly price	$13	$18	$8	

Set	Alt	Choice	Optout	1080p	4K	2 Screens	4 Screens	Price
1	1	✓ 1	0	1	0	1	0	13
1	2	✗ 0	0	0	0	0	0	8
1	3	✗ 0	0	0	1	0	1	18
1	4	✗ 0	1	0	0	0	0	0
2	1	✗ 0	0	0	0	0	1	8
2	2	✗ 0	0	1	0	1	0	13
2	3	✗ 0	0	0	1	0	0	18
2	4	✓ 1	1	0	0	0	0	0
3	1	✓ 1	0	0	1	0	1	13
3	2	✗ 0	0	1	0	0	0	18
3	3	✗ 0	0	0	0	1	0	8
3	4	✗ 0	1	0	0	0	0	0
4	1	✗ 0	0	0	0	0	0	8
4	2	✓ 1	0	0	1	0	1	18
4	3	✗ 0	0	1	0	1	0	13
4	4	✗ 0	1	0	0	0	0	0
5	1	✓ 1	0	1	0	0	1	13
5	2	✗ 0	0	0	1	0	0	18
5	3	✗ 0	0	0	0	1	0	8
5	4	✗ 0	1	0	0	0	0	0

	Optout	1080p	4K	2 Screens	4 Screens	Price
Coefficients:	**-3.3**	**0.5**	**1.2**	**0.5**	**1.0**	**-1.8**

Step 4: Calculate individual preference profiles

Gathering original answers, we can code them in a table to estimate preferences using **regression**.

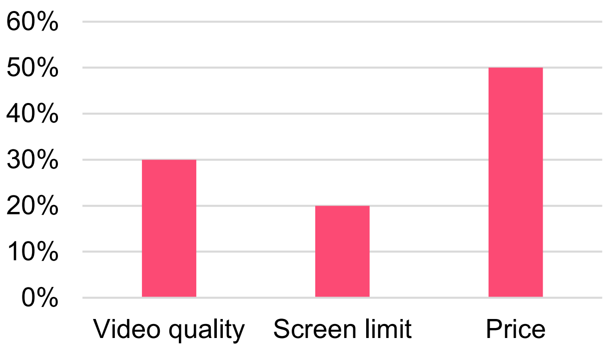
This respondent "Bob":

- Tends not to pick "none of the above" (optout)
- Relative to 720p, likes both 1080p and 4K, with **4K being his strongest preference overall**
- Prefers **more screens**
- Prefers 4 screens over 2 screens, values **both positively**
- Prefers **lower prices**

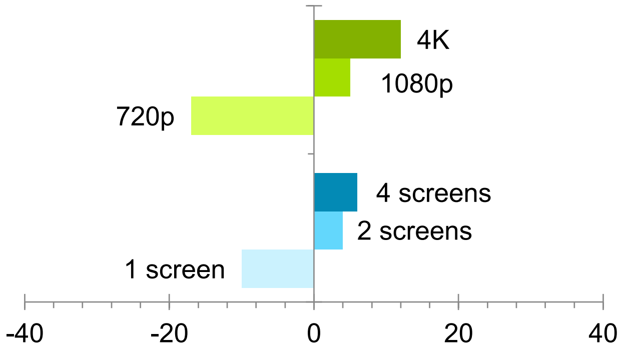
Set	Alt	Choice	Optout	1080p	4K	2 Screens	4 Screens	Price
1	1	✓ 1	0	1	0	1	0	13
1	2	✗ 0	0	0	0	0	0	8
1	3	✗ 0	0	0	1	0	1	18
1	4	✗ 0	1	0	0	0	0	0
2	1	✗ 0	0	0	0	0	1	8
2	2	✗ 0	0	1	0	1	0	13
2	3	✗ 0	0	0	1	0	0	18
2	4	✓ 1	1	0	0	0	0	0
3	1	✓ 1	0	0	1	0	1	13
3	2	✗ 0	0	1	0	0	0	18
3	3	✗ 0	0	0	0	1	0	8
3	4	✗ 0	1	0	0	0	0	0
4	1	✗ 0	0	0	0	0	0	8
4	2	✓ 1	0	0	1	0	1	18
4	3	✗ 0	0	1	0	1	0	13
4	4	✗ 0	1	0	0	0	0	0
5	1	✓ 1	0	1	0	0	1	13
	2	✗ 0	0	0	1	0	0	18
	3	✗ 0	0	0	0	1	0	8
		✗ 0	1	0	0	0	0	0
Coefficients:			**-3.3**	**0.5**	**1.2**	**0.5**	**1.0**	**-1.8**

Step 5: Run various analyses

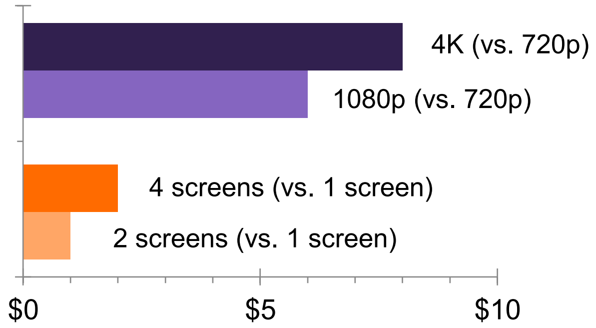
Attribute importance



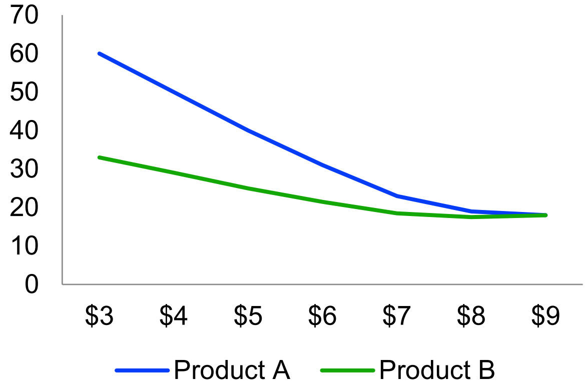
Level performance



Willingness to pay



Price elasticity



Customer segmentation

Segment 1

- ✓ Not price sensitive
- ✓ Needs full file sharing capability

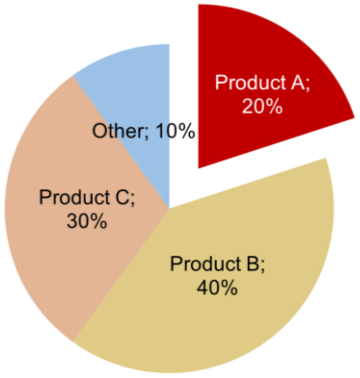
60% of market

Segment 2

- ✓ Price sensitive
- ✓ Needs searchable history

40% of market

Preference share simulation



Let’s set up our own study and launch it

Attributes (4)	Colorway	Cushioning Technology	Sustainability	Price
Levels		Standard Foam	Standard Materials	$110
				$130
		Super-Springy Foam	50% Recycled Materials	
				$150
		Maximum Cushioning	100% Biodegradable	$170

How do you specify your attributes?

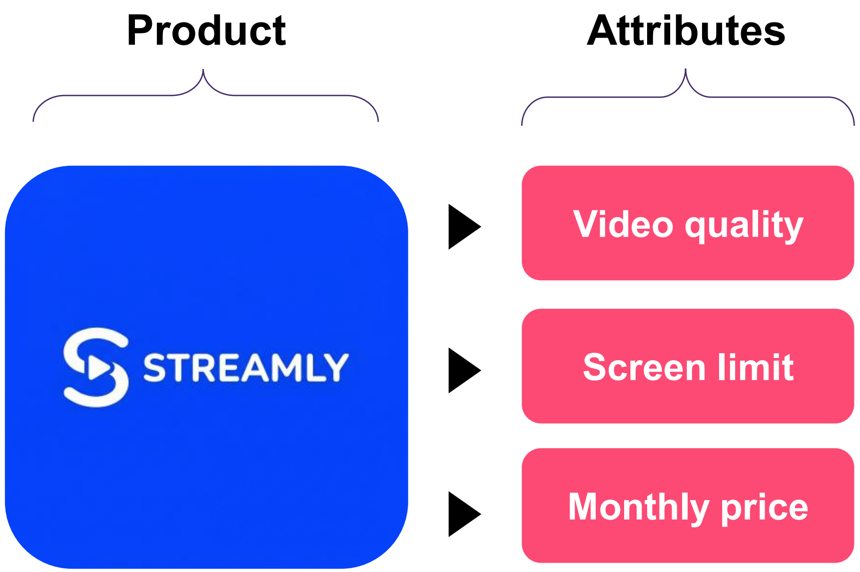
Attributes are ‘dimensions’ of your product.
Such as color, price, shape, size, brand, or location:

1. Include attributes that are **most important** to customers when buying, plus any you want to test the importance of.

2. Use **no more than seven attributes** to avoid confusing respondents, especially those on mobile.

3. Attributes can be **binary** (yes/no or present/absent)

4. Do not include attributes like **consumption occasion and consumer characteristics** (such as gender)



How do you specify your levels?

Levels are the values that each attribute can take.
Such as "blue," "red," and "green":

1. You need to have at least **two levels per attribute**. If an attribute has only one level, include it as a characteristic in your product description.

2. Specify levels **precisely**. For example, the levels of a car's 'engine power' attribute are 1.5L, 1.8L, and 2.0L, not "less than 1.5L" or "more than 2L."

3. Levels need to **sound realistic** to the consumer.

4. Ensure the levels are **mutually exclusive** within each attribute. Each level should describe a distinct option with no overlap.

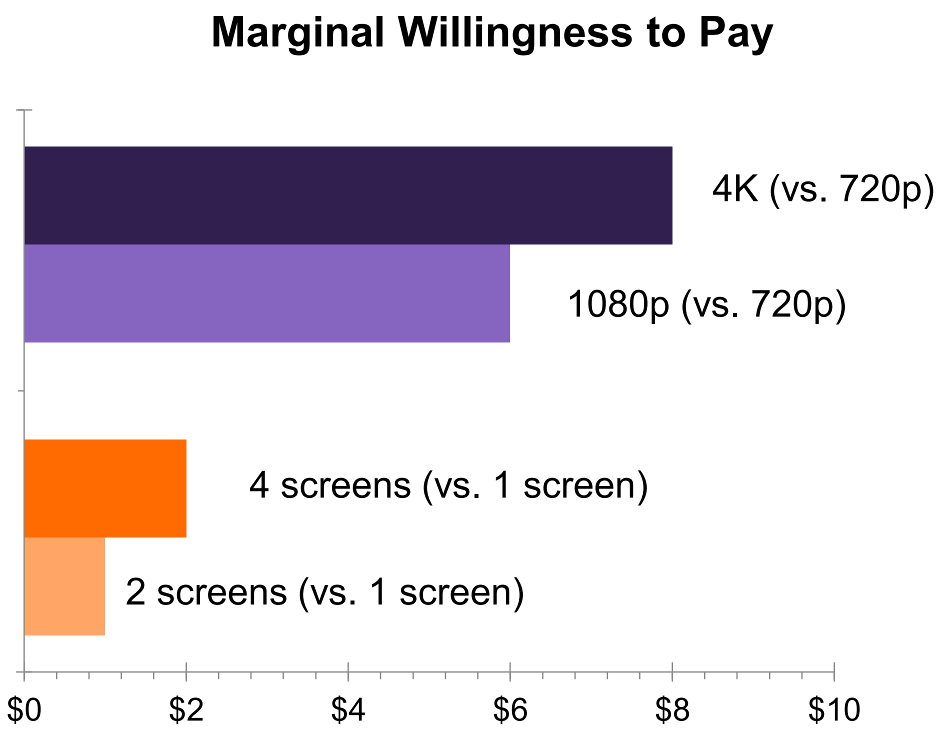
Levels of each attribute

HD (720p)	**Full HD (1080p)**	**4K Ultra HD**
1	**2**	**4**
$8	**$13**	**$18**

Should you include price as an attribute?

If price can be included, it should be. Even if you're not interested in its importance, a price attribute:

1. Makes the study more **realistic**.
2. Allows comparison of other attributes against price across several studies.
3. Enables **pricing analytics** like willingness-to-pay estimates, price elasticity, and revenue projections.



How much sample do you need?

Generally, you need a few hundred people.

On the Conjointly platform, specifying your attribute and levels will prompt the system to estimate the required sample size for robust results. This number depends on:

- Number of **attributes and levels** ↑
- Number of **choice sets** asked per respondent ↓
- Number of **alternatives** in each choice set ↓
- **Complexity** (such as prohibited pairs) ↑

We recommend gathering at least

200 responses

What are the different types of conjoint analysis?

Generic conjoint
(generic or unlabeled design)
- Identifies which features and price levels drive choice
- Best for single brands or commoditized products

All levels can vary freely:

HD (720p)	**Full HD (1080p)**	**4K Ultra HD**
1	**2**	**4**
$8	**$13**	**$18**

Brand-specific conjoint
(alternative-specific design, labeled design)
- Suited for studies spanning multiple brands where product characteristics vary by brand

Levels restricted per brand, but brands can share levels:

HD (720p) ◆▲	**Full HD (1080p)** ●◆▲	**4K Ultra HD** ●◆
1 ◆▲	**2** ●◆▲	**4** ●◆
$8 ●◆	**$13** ●◆▲	**$18** ●◆

● **Streamly** ◆ **WatchX** ▲ **NextView**

What are the different types of conjoint analysis? (cont.)

Conjoint analysis can also be modified according to three other dimensions:

Response type

- **Choice-based conjoint (CBC)**: participants choose their preferred option from a set
- **Best-worst conjoint (MaxDiff):** participants pick the best and worst options from a set
- **Ranking-based conjoint**: participants rank options from most to least preferred
- **Chip allocation**: participants distribute a fixed number of points/chips across options

Questioning approach

- **Standard conjoint:** questionnaire designed beforehand
- **Adaptive conjoint:** questionnaire “adapts” to participants’ responses to minimize uncertainty and exclude irrelevant options

Attributes shown

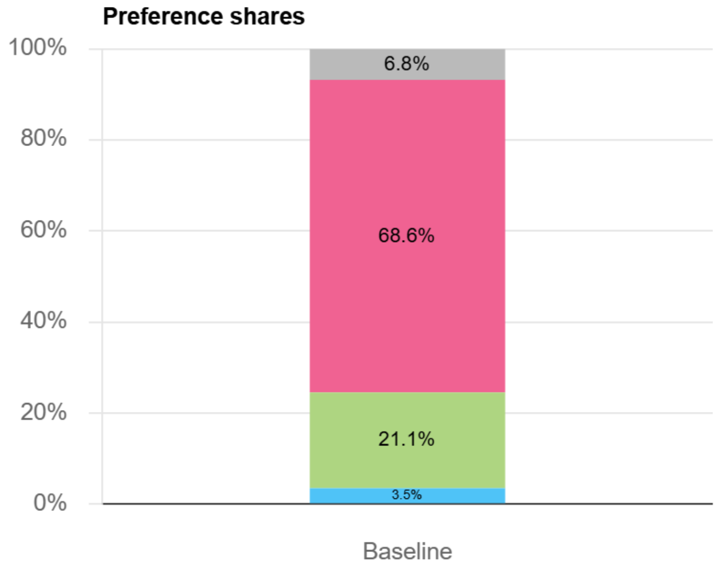
- **Full profile:** all attributes are shown in each choice set
- **Partial profile:** only a subset of attributes are shown in each choice set (e.g., 6 of 12 attributes shown in each question)

What are preference share simulations?

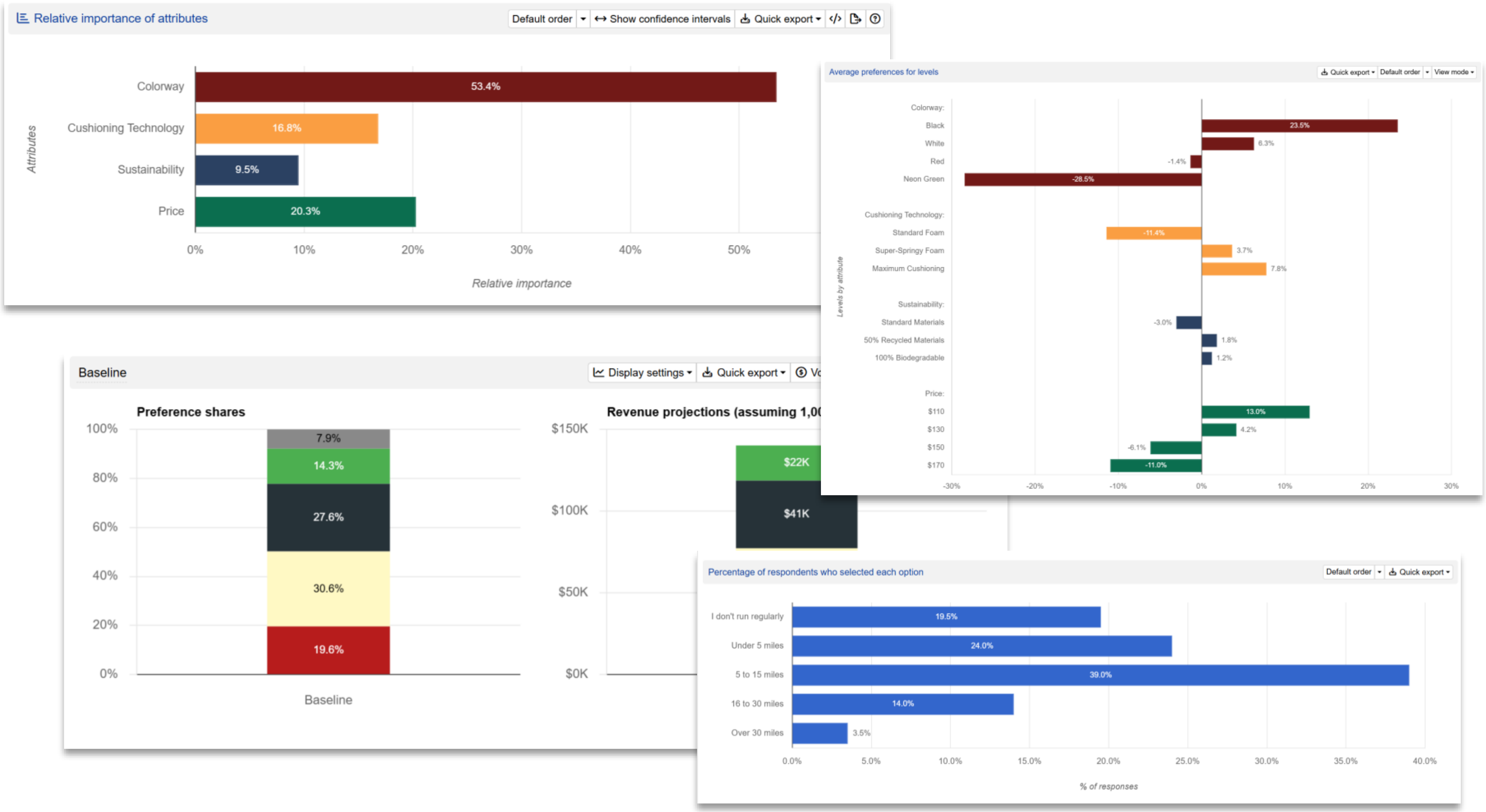
Using collected preference data, conjoint analysis enables extensive **preference share simulation**. Simulations involve:

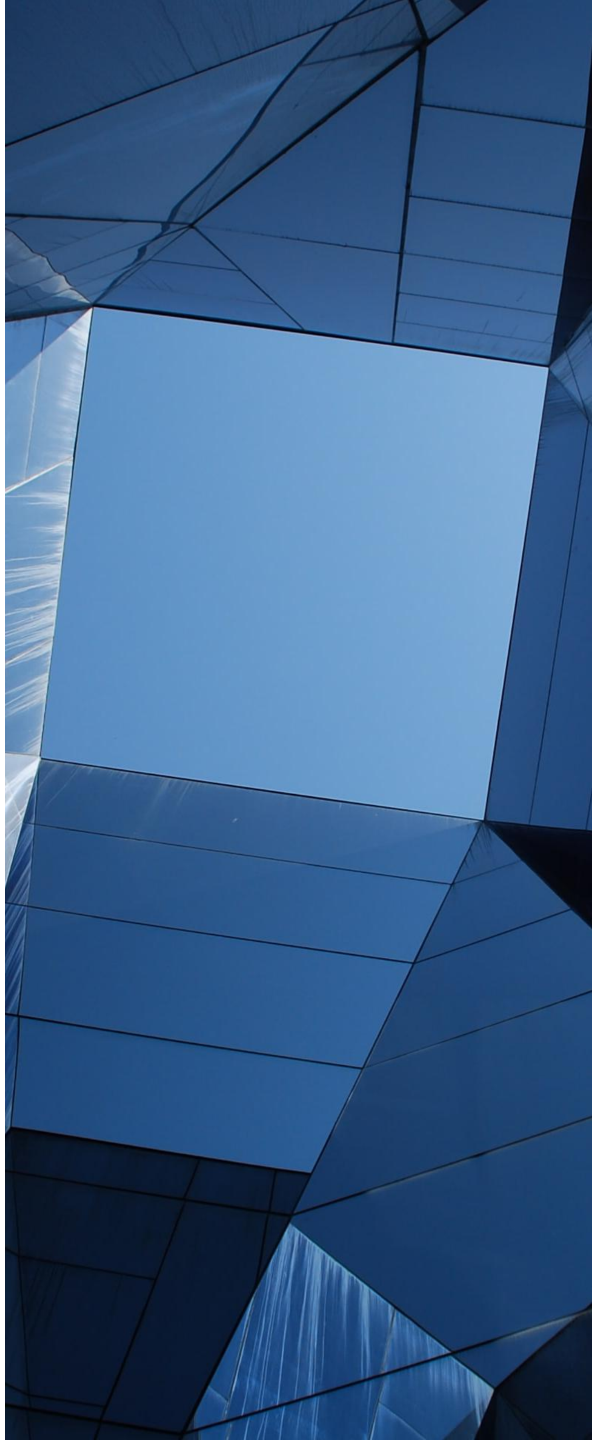
- Creating sets of **hypothetical product profiles**
- Predicting what percentage of respondents would go for each profile

Name	Video quality	Screen limit	Monthly price
Streamly Basic	HD (720p)	1	8
Streamly Standard	Full HD (1080p)	2	13
Streamly Premium	4K Ultra HD	4	18
None of the above			



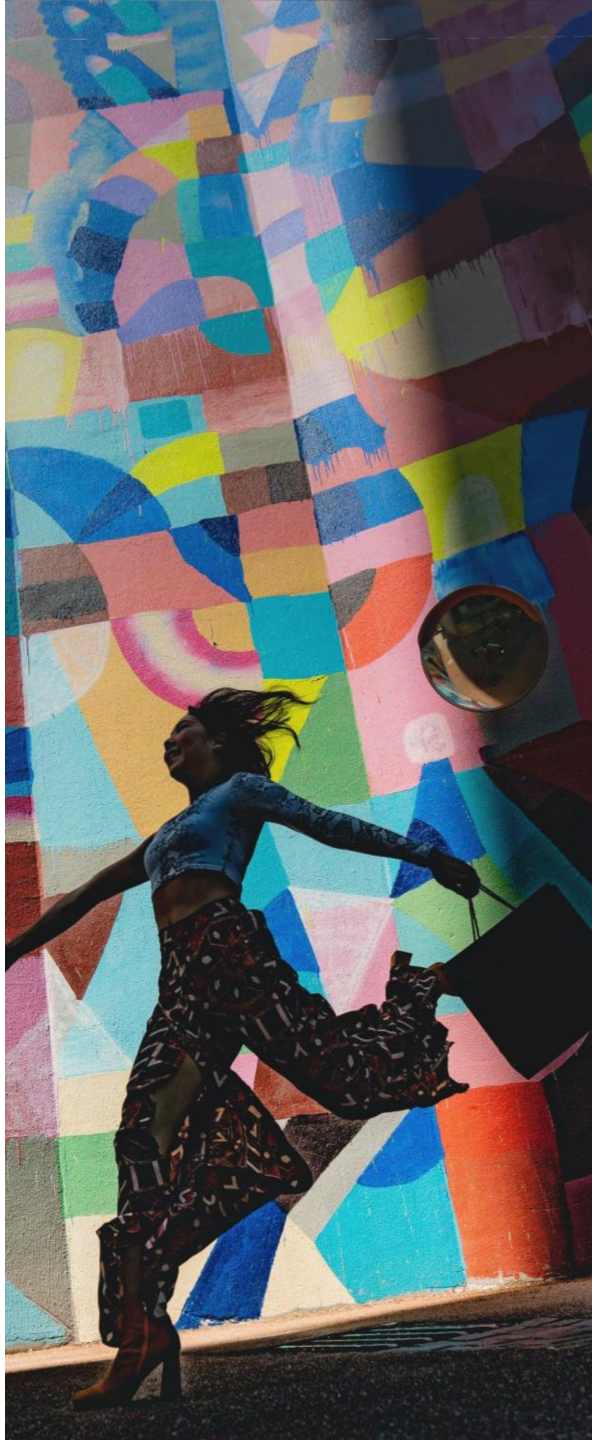
Time to review our results and simulations





Key takeaways

- **Conjoint analysis reveals true consumer preferences** through realistic trade-offs.
- Design carefully: **no more than seven** attributes, with realistic, mutually exclusive levels, and **include price if possible**.
- Gather **at least 200 responses** for robust results.
- Predict audience choices using **preference share simulations**.
- **Conjointly is the platform of choice** for conjoint analysis, offering easy-to-use tools, real respondents, and expert support.



Conjointly delivers actionable insights in an agile fashion

> Working with Conjointly was a **truly agile experience**. Mondelez used the platform for an important PPA project for one of our core product lines. The expertise gave us the confidence to make **several critical product decisions** for the business.
>
> *Shopper Insights Lead, Mondelēz International*
> Melbourne, Australia

Automated solutions

- **Manager-friendly tools** and intuitive online reports
- **Automated DIY research** processes (design, sampling, and analysis)
- **Costs**: License + sample (or BYO respondents)
- **Timeframe**: 5 hours to 2 weeks
- **Expert support** readily available

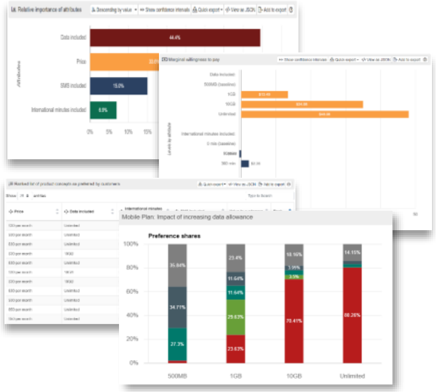
Custom projects

- **Decision ready reports** (PowerPoint presentation or easy-to-use custom simulators)
- **Research process fully managed** by us (design, sampling, analysis)
- **Costs**: Labor + sample (or BYO respondents)
- **Timeframe**: 5 days to 3 weeks
- **Expert support** readily available

Conjointly offers **easy-to-use tools** and **expert support** for product and pricing research

Conjoint analysis

- Understand **preferences** for product **features**
- Estimate **marginal willingness to pay** for features
- Find the **most preferred** product concept

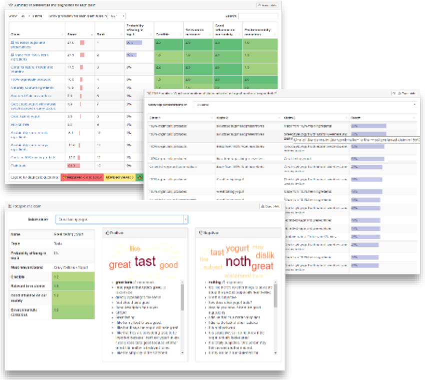


Concept and package testing

- Determine **consumer attitude** towards potential product concepts
- **Rate** concepts on various attributes
- Understand **likes and dislikes** from elements of the concept

Claims and messages testing

- Identify **winning claims** and their combinations
- Measure **claim rating** against KPIs
- Understand **likes and dislikes** about your claims



Pricing research and NPD launch

- Determine how **changing price** impacts volume and revenue
- Discover how your **new products perform** compared to competitors
- Find **acceptable price ranges** for your products

Conjointly delivers **industry-leading research methods** to our global partners

Some of Conjointly's clients

About us

- Conjointly offers a powerful and intuitive platform and expert support for insights about markets, customers, product, and pricing questions.
- We are an Australian-headquartered provider of quantitative research services to big and small companies (mostly in USA and Europe).
- With 10,000+ projects performed on the platform, Conjointly is the go-to research place for hundreds of clients.

Our certifications and memberships

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Questions and answers

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Get in touch at
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